

What is Vegas HVAC Co worth?

A guide for a buyer with no finance background — what the number means and what to do about it.

Treat this as a **fair-price zone**, not one exact figure. Every valuation is a range because it depends on assumptions about the future.

How we checked it

We valued the business a few different ways and blended them. When the methods roughly agree, you can be more confident in the answer.

Its future earnings (the thorough method)

We estimated the cash this business should produce in the years ahead and

converted that to what it's worth in today's money. This came out to about

\$706,569.

A simpler earnings check

A quicker version of the same idea — take the yearly profit and scale it up —

gave roughly \$956,133.

What similar businesses sell for

Comparable businesses typically sell for 1.7–2.55 times their SDE (a common

earnings measure). Applied here, that's \$496,577 to \$744,865.

Its break-up value (a floor)

If you simply added up everything the business owns and subtracted what it

owes, you'd get \$250,000. Think of this as a floor — the value of the 'stuff',

ignoring the business's ability to earn.

What to watch out for

- **Owner dependence: business relies on the current owner** — The business leans heavily on the current owner (their relationships, know-how, or presence). It may lose customers or stumble once they leave.

What this means for you as a buyer

- Asking **within \$531,258–\$730,399** — broadly in line with what it looks worth.
- Asking **above \$730,399** — you're paying a premium; understand what justifies it (growth, brand, loyal customers).
- Asking **below \$531,258** — possibly a bargain, or a warning sign worth investigating.

Questions worth asking the seller: Why are you selling? How much does the

business depend on you personally? Will customers and contracts stay after the

sale? Are the financials clean and independently verified?

A few terms, briefly

- **SDE / EBITDA** — measures of yearly profit (roughly, the cash the business throws off before financing and tax quirks).
- **Multiple** — how many years' worth of profit a buyer pays (a "3×" means paying three times yearly earnings).
- **DCF** — valuing a business by the future cash it will generate.
- **Net asset value** — what's left if you sold everything it owns and paid off what it owes.

This is a guide to help you think, not financial or legal advice. Before buying, have an accountant and a lawyer review everything.